

SEMPRA ENERGY COMPANY VALUATION REPORT

1. STORY AND QUALITATIVE FOUNDATION

1.1 Company Overview

Sempra Energy is a North American energy infrastructure company located in San Diego, California. It primarily operates regulated electric and gas utilities in California and Texas and is strategically repositioning itself towards becoming a 95% regulated utility business through a divestment of Sempra Infrastructure Partners, with an agreed sale of \$10B, reducing Sempra's stake to 25% (Sempra, 2025). Its core businesses include San Diego Gas&Electric (SDG&E), Southern California Gas, and Oncor in Texas. The company's revenue and earnings are mostly coming from regulated utility operations, with Texas expected to represent 60% of total rate base by 2030, funded by a 2026-2030 \$65B capital plan, which will be partially funded by the sale of SIP (Sempra, 2026). Sempra wants to reduce its exposure to utility infrastructure by selling such items. It is now focusing on predictable, regulator-approved returns tied to rate base growth instead of commodity-sensitive or merchant exposure.

1.2 Industry and Macro Context

Sempra operates in the regulated utilities sector, where growth is primarily driven by capital investment into grid modernisation, transmission expansion, and energy transition infrastructure. The U.S. utility sector benefits from secular tailwinds, including electrification, data centre load growth, renewable integration, and grid resilience investments. However, the industry faces regulatory and political scrutiny due to rising electricity bills and wildfire liabilities, particularly in California. Interest rates impact valuation given utilities' capital-intensive business model, while regulatory actions on allowed ROE and cost recovery are key macro sensitivities.

1.3 Competitive Positioning

Sempra competes with other regulated utilities such as PG&E and Edison International. Its competitive advantage lies in its growing exposure to Texas (Oncor), which offers higher rate base growth (18% CAGR) and a constructive regulatory environment compared to California. Barriers to entry are high due to regulatory licensing, infrastructure ownership, and capital needs. However, wildfire liability risk and regulatory pressure on allowed returns remain structural vulnerabilities, particularly in California under inverse condemnation rules.

1.4 Management Team

Management has shifted capital allocation decisively toward regulated utilities, reducing earnings volatility. The revised \$65B (2026–2030) capital plan reflects disciplined investment focused on rate base expansion rather than non-core infrastructure growth. The strategy targets 7–9% EPS CAGR and 11% CAGR rate base growth through 2030 without equity issuance, funded by operating cash flow and asset sales. This indicates a focus on shareholder value, capital recycling, and balance sheet discipline.

1.5 Investment Thesis Summary

Sempra represents a transition story toward a predominantly regulated utility model with improved earnings visibility and predictable growth. With 11% targeted consolidated rate base CAGR and stronger growth in Texas, earnings expansion is structurally supported by capital deployment rather than cyclical revenue trends. Key drivers include incremental Capex at Oncor, potential ROE increases in Texas, and regulatory reform in California wildfire frameworks. The primary risks are wildfire liabilities, regulatory pressure on allowed

returns, and political scrutiny over electricity affordability. The investment case depends on sustained regulatory support and the successful execution of its capital plan.

2. FINANCIAL ANALYSIS AND FORECASTING

2.1 Historical Financial Analysis (3–5 years)

Note: Sempra Infrastructure revenue was excluded from the final revenue build in the segmented analysis because the business is being sold to BlackRock. Therefore, it will no longer contribute to Sempra’s operating performance.

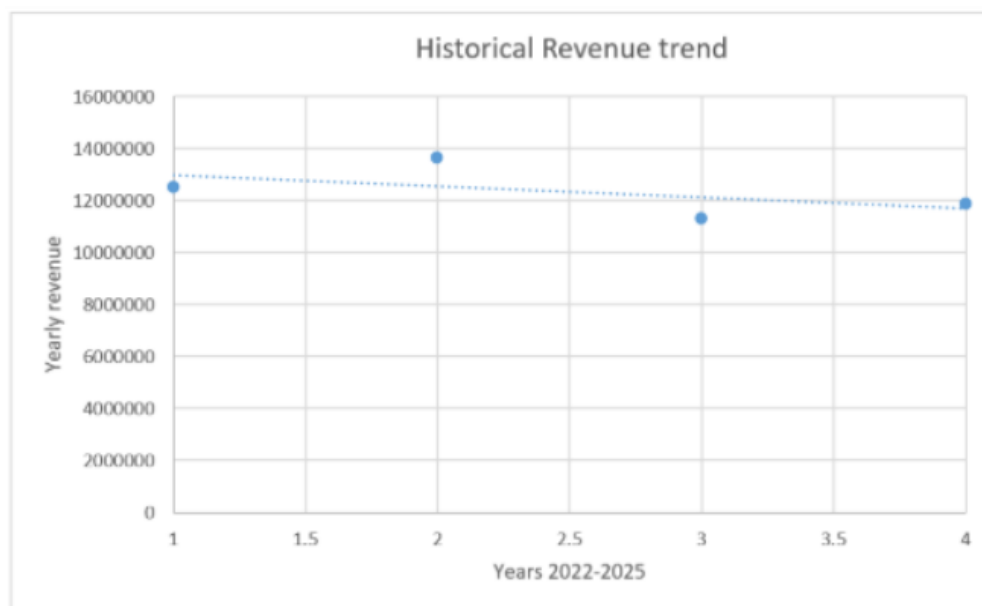


Figure 1: Revenue growth trend

Revenue trajectory analysis: According to Figure 2, the company’s revenue growth trajectory is weak and slightly negative over 2022-2025. Revenue rises from 12.52\$B in 2022 to 13.65\$ bn in 2023, then drops to 11.30\$ bn in 2024, recovering later. As a result, revenue remains below the 2022 level by the end of the forecast period, implying a 2022-2025 CAGR of about -1.8%. This portrays a volatile pattern with no sustained growth momentum in the recent past.

Item	2022A	2023A	2024A	2025A
Revenue (\$M)	12520000	13649000	11303000	11871000
EBITDA (\$M)	3540174.389	3452507.356	3581268.942	4688856.809
EBITDA Margin (%)	7.00%	-2.50%	3.70%	30.90%
Operating Income (\$M)	1797174.389	1515507.356	1448268.942	2351856.809
Net Income (\$M)	1784000	2153000	1906000	2072000
NOPAT (\$M)	1445341.559	1334692.174	1362965.901	941547.465
ROIC (%)	14.60663923	11.88273156	10.79465799	9.264099267

Figure 2: Revenue trajectory analysis

2.2. Revenue Build-Up

Revenue Segment	2026E	2027E	Notes
	Growth	Growth	
Sempra California	6%	6%	Stable market, strong capex investment
Sempra Texas	15.2%	17%	Growing customer base, major investment plan, growing rate base
Total Revenue	10.2%	11%	

Figure 3: Revenue build-up

Sempra's revenue growth is largely driven by its capital investment. How much revenue US utility companies collect depends on the size of their rate base (net value of assets used to serve customers). On February 26th, 2026, Sempra announced its 2026-2030 \$65bn capital plan (Sempra, 2026) targeting 11% rate base growth, while industry peers have seen lower historical rate base growth and are targeting between the 6-10% range. Due to this, rapid growth is forecasted in their rate base through capital investments. Sempra will see a period of high growth in its revenues. Sempra California, which is made up of SoCalGas and SDG&E are expected to have revenue growth remain steady at 6%. This reflects the characteristics of a mature utility company operating in a stable market. Sempra California will continue to invest heavily in wildfire mitigation, electrification, and modernisation, which will expand its rate base (Sempra, 2025).

However, this growth will seem moderate when compared to Sempra Texas due to stricter regulations and slower population growth, with Texas having a larger population growth than any other state in 2025. Texas will also receive much of the capital investment over the 5 years, making up nearly 60% of the capital plan. Therefore, Sempra are targeting a 17% rate base growth annually in Texas alone, which is consistent with the segmented revenue forecasts.

Note: As a result of Sempra selling a 45% stake in Sempra Infrastructure Partners, Sempra will no longer consolidate revenue, and therefore Sempra's infrastructure segment has been left out of the DCF forecasts, and incorporated through taking a proportional ownership percentage of their enterprise value and adding back to total enterprise value at the end.

2.3: Operating Margin Forecast

ITEM	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
REVENUE GROWTH	10%	11%	11%	11%	11%	9%	8%	7%	6%	5%
EBITDA MARGIN	39%	43%	48%	52%	55%	58%	60%	62%	63%	64%
D&A (% OF REVENUE)	20%	20%	20%	21%	21%	21%	22%	23%	24%	26%
OPERATING MARGIN	19%	23%	27%	31%	34%	37%	38%	39%	39%	38%
TAX RATE	19.7%	20.5%	21.2%	22.0%	22.8%	23.5%	24.3%	25.1%	25.8%	26.6%

Figure 4: Forecasted growth

The forecast assumes meaningful operating leverage as revenue growth, driven by an 11% rate base CAGR, outpaces cost growth between 2026 and 2030. Over this period, EBITDA margins expanded from 39% to 55% and operating margins from 19% to 34%, reflecting the regulated utility model where incremental capital added to the rate base earns an authorised return while many operating costs remain relatively fixed. As fixed costs are spread across a larger revenue base, profitability improves in a structurally plausible manner. From 2030 onward, revenue growth moderates to 5% by 2035 as rate base expansion normalises, yet EBITDA margins continue rising toward 64% and operating margins stabilise near 38–39%. This implies continued efficiency gains and scale benefits despite increasing depreciation as a share of revenue. While some margin expansion is justified by economies of scale and cost discipline, the magnitude, particularly EBITDA margins exceeding 60%, appears to be elevated relative to typical regulated utility peers, which generally operate in the 40–50% range.

Overall, the projected operating leverage during the capital deployment phase is economically credible given the regulated framework. However, terminal margin assumptions should be stress-tested against peer benchmarks and potential regulatory constraints, especially in California where political and wildfire-related risks could limit allowed returns or increase compliance costs.

2.4: Cash Conversion and Working Capital

ITEM	2026E	2027E	2028E	2029E	2030E
OPERATING CASH FLOW	\$ 4,538,127.67	\$ 5,545,075.13	\$ 6,685,154.93	\$ 7,951,109.92	\$ 9,355,914.61
CAPEX	\$ 12,700,000.00	\$ 12,075,000.00	\$ 12,075,000.00	\$ 12,075,000.00	\$ 12,075,000.00
FCF CONVERSION	\$ -8,161,872.33	\$ -6,529,924.87	\$ -5,389,845.07	\$ -4,123,890.08	\$ -2,719,085.39

ITEM	2031E	2032E	2033E	2034E	2035E
OPERATING CASH FLOW	\$ 10,620,240.78	\$ 11,833,161.21	\$ 12,973,557.74	\$ 14,017,343.05	\$ 14,942,745.52
CAPEX	\$ 11,860,000.00	\$ 11,645,000.00	\$ 11,430,000.00	\$ 11,215,000.00	\$ 11,000,000.00
FCF CONVERSION	\$ -1,239,759.22	\$ 188,161.21	\$ 1,543,557.74	\$ 2,802,343.05	\$ 3,942,745.52

Figure 5: Projected Cash Flow profile

Operating cash flow increases steadily from \$4.5B in 2026 to \$10.6B in 2031, reflecting rate base expansion and margin improvement. However, capital expenditures remain significantly elevated, consistent with Sempra's capital plan starting at \$12.7B in 2026 and remaining above \$12B annually through 2030, before declining to \$11.9B in 2031. As a result, free cash flow remains negative during this heavy investment phase, ranging from -\$8.1B in 2026 to -\$1.2B in 2031. From 2032 onward, operating cash flow continues to rise from \$11.8B in 2032 to \$14.9B in 2035 while capital expenditure gradually declines from \$11.7B in 2032 to \$11B in 2035. This shift allows free cash flow to turn positive at \$188M in 2032, increasing to \$3.9B by 2035 as the capital cycle normalises. The improvement reflects a transition from peak expansion toward a more stable, steady-state investment level.

Overall, the negative free cash flow between 2026 and 2031 is driven by deliberate capital reinvestment rather than operational weakness. As capital intensity moderates and operating cash generation strengthens, free cash flow expands materially in the later years. This pattern is consistent with a regulated utility undergoing a large capital deployment cycle followed by improved cash conversion in the terminal period.

3: WACC CALCULATION

3.1 Cost of Equity

The cost of equity was estimated using the Capital Asset Pricing Model (CAPM), which determines the required return demanded by equity investors based on systematic market risk. The CAPM formula is: $(\text{Risk-free rate} + \beta (\text{Market return} - \text{risk-free rate}))$

Where RF represents the risk-free rate, β measures the stock's sensitivity to market movements, and $(\text{RM}-\text{RF})$ is the market risk premium. As Sempra is a U.S.-based company and the DCF forecast horizon is 10 years, the U.S. 10-year Treasury yield was used as the risk-free rate, consistent with valuation best practice. The selected rate of 4.11% reflects prevailing long-term government bond yields and matches the duration of projected cash flows. The market risk premium of 4.38% was sourced from Damodaran's forward-looking U.S. equity risk premium estimates, ensuring consistency with academic and professional valuation standards (Damodaran On-Line Home Page, n.d)

To estimate beta, a peer-based approach was adopted to reflect Sempra's predominantly regulated utility business model, following the partial divestiture of Sempra Infrastructure

Partners. The average unlevered beta was derived from four comparable regulated utilities: Edison International, Eversource Energy, Xcel Energy, and Duke Energy, resulting in an average of 0.295. This unlevered beta was then levered using Sempra's target capital structure (Debt/EV of 35.8%) to obtain a levered equity beta of 0.42. Substituting these inputs into the CAPM formula yields a cost of equity of approximately 5.9% ($4.11\% + 0.42 \times 4.38\%$). The relatively low beta reflects the defensive, regulated nature of Sempra's earnings profile, characterised by stable demand, predictable cash flows, and limited exposure to broader market volatility.

3.2 Cost of Debt

The cost of debt represents the effective rate Sempra pays on its interest-bearing liabilities and reflects the market's assessment of its credit risk. For this valuation, the cost of debt was estimated using a market-based yield approach consistent with Method 1 (Yield to Maturity). The pre-tax cost of debt of 5.55% was sourced from Bloomberg, reflecting the current weighted average yield on Sempra's outstanding long-term bonds. Using market yields rather than book coupon rates ensures that the discount rate reflects current financing conditions and the opportunity cost of debt capital. Given Sempra's investment-grade credit profile and predominantly regulated earnings base, this yield is consistent with large U.S. utility peers operating with moderate leverage and stable cash flows.

Because interest expense is tax-deductible, the after-tax cost of debt must be used in the WACC calculation. Applying Sempra's estimated marginal tax rate of 26.6%, the tax-shielded cost of debt is calculated as:

$$\text{RD after tax} = 5.55\% (1 - 26.6\%) = 4.1\%$$

This adjustment reflects the reduction in effective financing cost due to the tax deductibility of interest payments. The resulting after-tax cost of debt of approximately 4.1% appropriately captures both Sempra's credit risk and the tax shield benefit, and is consistent with the defensive, regulated nature of its capital structure.

4. DCF Valuation Model

ITEM	2031E	2032E	2033E	2034E	2035E
OPERATING INCOME	\$ 7,915,784.65	\$ 8,865,333.98	\$ 9,647,544.27	\$ 10,213,967.91	\$ 10,516,036.78
TAX RATE	\$ 0.24	\$ 0.24	\$ 0.25	\$ 0.26	\$ 0.27
NOPAT	\$ 6,052,083.42	\$ 6,710,075.41	\$ 7,228,128.22	\$ 7,574,165.86	\$ 7,717,510.21
ADD: D&A	\$ 4,612,823.62	\$ 5,166,362.45	\$ 5,786,325.94	\$ 6,480,685.06	\$ 7,258,367.26
LESS CAPEX	\$ 11,860,000.00	\$ 11,645,000.00	\$ 11,430,000.00	\$ 11,215,000.00	\$ 11,000,000.00
LESS NWC	\$ 44,666.26	\$ 43,276.64	\$ 40,896.43	\$ 37,507.86	\$ 33,131.95
FREE CASH FLOW	\$ -1,239,759.22	\$ 188,161.21	\$ 1,543,557.74	\$ 2,802,343.05	\$ 3,942,745.52

ITEM	2026E	2027E	2028E	2029E	2030E
OPERATING INCOME	\$ 2,447,400.00	\$ 3,331,713.30	\$ 4,370,106.03	\$ 5,536,752.12	\$ 6,845,776.00
TAX RATE	\$ 0.20	\$ 0.20	\$ 0.21	\$ 0.22	\$ 0.23
NOPAT	\$ 1,965,035.42	\$ 2,649,503.84	\$ 3,441,755.46	\$ 4,318,103.35	\$ 5,286,504.00
ADD: D&A	\$ 2,617,440.00	\$ 2,931,532.80	\$ 3,283,316.74	\$ 3,677,314.74	\$ 4,118,592.00
LESS CAPEX	\$ 12,700,000.00	\$ 12,075,000.00	\$ 12,075,000.00	\$ 12,075,000.00	\$ 12,075,000.00
LESS NWC	\$ 44,347.75	\$ 35,961.50	\$ 39,917.27	\$ 44,308.17	\$ 49,182.00
FFCF CASH FLOW	\$ -8,161,872.33	\$ -6,529,924.87	\$ -5,389,845.07	\$ -4,123,890.08	\$ -2,719,085.00

Figure 6: DCF valuation

Key assumptions documented:

SIP Divestiture: All forecasts assume completion of the Sempra Infrastructure Partners (SIP) sale and exclude its operations. The model reflects Sempra's transition to a predominantly regulated utility structure, ensuring valuation focuses solely on core regulated earnings and cash flows post-transaction.

Revenue & Margins: Revenue is projected using a rate base-driven approach rather than historical trends. Based on a \$57B 2025 rate base, 7.5% allowed return, and 11% targeted rate base CAGR, revenue grows 10–11% through 2030 before moderating to 5% by 2035. Operating margins expand due to operating leverage, as SG&A grows at 2.7% inflation while revenue scales with capital deployment.

Capital Structure & Cash Flow: Capex reflects the \$65bn plan, peaking at \$12.7bn in 2026 and remaining elevated through 2030 before normalising. This drives negative free cash flow in early years, turning positive as capital intensity declines. Depreciation rises with rate base growth, tax rate normalises to a marginal tax rate of 26.6% based on statutory tax and a blend of state taxes, working capital scales proportionally with revenue, and COGS growth moderates from 3.0% to 2.5% as operations transition to stable, steady-state regulated performance.

Method 1. Perpetuity Growth (Gordon Growth Model)

ITEM	VALUE
2035 FCFF(,000)	\$3,942,745.5
TERMINAL GROTH RATE	2.3%
WACC	5%
TERMINAL VALUE	\$ 136,794,048.16

Figure 7: Gordon Growth model

The terminal value is calculated using the Gordon Growth method, which assumes the company will continue generating free cash flows indefinitely at a stable growth rate. In this case, the final forecasted free cash flow in 2035 is \$3.9B, which serves as the base cash flow for the perpetuity calculation. This cash flow is grown by the terminal growth rate to reflect the first year beyond the explicit forecast period.

Using a terminal growth rate of 2.3% as the terminal growth rate, which should be below nominal GDP growth and a WACC of 5%, the terminal value is calculated as $FCF_{2035} \times (1 + \text{growth rate}) / \text{WACC} - \text{growth rate}$. Applying these assumptions results in a terminal value of \$136,794B. The 2.3% growth rate is conservative and consistent with long-term inflation, ensuring the company does not unrealistically outgrow the broader economy in perpetuity.

Method 2. Exit Multiple

Item	Value
2035E EBITDA (\$M)	17774.404
Exit EV/EBITDA Multiple (x)	13.1x
Terminal Value	232108.93
PV of Terminal Value	140252

Figure 8: Exit multiple analysis

The exit multiple method was also used, which applies a market-based valuation multiple to the company's projected EBITDA in the final forecast year. This approach reflects the valuation a strategic buyer or financial investor might be willing to pay for the company at the end of the forecast period based on comparable transaction multiples.

In this case, the report calculates the average EV/EBITDA multiple derived from precedent utility transactions to Sempra's projected 2035 EBITDA shown in the table above. The selected exit multiple (13.1x) was derived using multiples observed in comparable regulated utility

acquisitions, including transactions such as Dominion Gas Utilities (Enbridge, 2023), SCANA (Dominion Energy, 2018), Spectra Energy (Enbridge, 2016), and Integrys Energy (Wisconsin Energy, 2014). This produced a Terminal Value of 232.8B. This isn't very comparable to the number derived by the Gordon Growth Model of 136B, which is expected due to the premiums related to acquisitions.

4.3 Present value calculation and enterprise value

Year	FCFF	DISCOUNT FACTOR	PV OF FCFF
2026	\$ -8,161,872.33	1.052485411	\$ -7,754,855.56
2027	\$ -6,529,924.87	1.10772554	\$ -5,894,894.21
2028	\$ -5,389,845.07	1.16586497	\$ -4,623,044.02
2029	\$ -4,123,890.08	1.227055871	\$ -3,360,800.57
2030	\$ -2,719,085.39	1.291458403	\$ -2,105,437.84
2031	\$ -1,239,759.22	1.359241127	\$ -912,096.61
2032	\$ 188,161.21	1.430581456	\$ 131,527.79
2033	\$ 1,543,557.74	1.505666111	\$ 1,025,166.02
2034	\$ 2,802,343.05	1.584691616	\$ 1,768,383.85
2035	\$ 3,942,745.52	1.667864806	\$ 2,363,947.91
		SUM OF FCFF	\$ -19,362,103.24
Terminal Value	136794048.2	1.667864806	\$ 82,017,467.88
		PV OF TERMINAL VALUE	\$ 62,655,364.64

Figure 9: Present value calculation and enterprise value calculation

All projected free cash flows from 2026 to 2035 are discounted back to present value using the 5.2% WACC to account for the time value of money and risk. The terminal value, which captures cash flows beyond 2035, is also discounted back to today using the same discount rate. Adding the present value of the forecasted cash flows and the discounted terminal value gives the enterprise value of approximately \$54.9 million.

4.4 Equity Value and Value per Share

Total Enterprise Value	\$70,401,898.4
Net Debt	(\$32,688.0)
Unfunded pension liabilities	\$ 124,000.00
Preferred stock	\$20,000.0
Non-consolidated subsidiaries	\$7,925,000.0
Implied Equity Value	62300210.44
Shares Outstanding	\$652,681.5
Implied Share Price	95.5

Figure 10: Equity value and value per share calculation

Enterprise value represents the total value of the company's operations and is adjusted to arrive at implied equity value. From total enterprise value, net debt, unfunded pension liabilities, and preferred stock are subtracted (or added where appropriate), while non-consolidated subsidiaries are added back if they represent additional value. This results in an implied equity value of \$62.3B, which is then divided by total shares outstanding to calculate an implied share price of \$95.5.

When performing this analysis, the market value of debt should be used instead of book value if available, as it better reflects current economic reality. All potentially dilutive securities, such as stock options, convertibles, and restricted stock, should be included in the share count to avoid overstating value per share. Finally, the intrinsic share price should be compared to the current market price to assess whether the stock is under- or overvalued.

5. Relative valuation

5.1. Comparable Company Selection and Data.

In the multiple analysis, a peer group comprising companies that operate entirely or predominantly within the regulated utilities industry was created. This approach reflects Sempra's ongoing strategic transition. Following the announcement of the planned sale of a 45% stake in Sempra Infrastructure, the company stated that it "expects regulated earnings to comprise approximately 95% of our business in 2027 and beyond." (Sempra, 2026) As a result, comparisons with predominantly regulated utility companies are particularly relevant when assessing Sempra's long-term positioning.

To support appropriate comparisons, EV-based multiples were chosen, namely EV/EBITDA, EV/EBIT, and EV/Rev, as they facilitate comparison between firms with different capital structures, which is particularly important in the utilities sector where leverage can vary considerably. The distinction between EV/EBITDA and EV/EBIT is significant, as they reflect operating performance before and after depreciation and amortisation, which is relevant for capital-intensive utilities companies. EV/Revenue has been included because it provides a simple valuation measure relative to company scale and is less affected by non-cash expenses such as depreciation.

The P/E multiple is an investor-focused comparison that is easy to understand and particularly meaningful for mature utility companies with stable, predictable earnings. Dividend yield has been included for similar reasons, providing a straightforward measure of cash return to investors. Net debt/EBITDA has also been included because regulated utility companies typically have high levels of debt, and their revenues are subject to high levels of depreciation. This multiple allows us to compare how well companies can manage debts excluding non-cash expenses, providing a standardised measure of financial leverage. Finally, the report has incorporated P/BV, which is crucial for regulated utilities, as under the rate-base system, revenue generation is driven by the asset base; P/BV, therefore, signals future earning power and reflects market perceptions of regulatory risk that could impact performance in the future.

Peer Multiples Table

Company Name	Market Cap (\$M)	Enterprise Value (\$M)	EV / EBITDA			EV / EBIT			P / BV	P/E			EV/REV LTM	Dividend Yield %	Net Debt / EBITDA
			2028E	2027E	LTM	2028E	2027E	LTM	LTM	2026E	2027E	LTM			
Xcel Energy Inc.	\$ 51,806.73	\$ 87,614.70	12.6x	10.9x	14.1x	25.2x	21.0x	30.1x	2.2x	20.2x	18.3x	24.3x	6.0x	2.85%	5.8x
Eversource Energy	\$ 28,282.40	\$ 58,546.60	11.2x	10.5x	12.3x	17.1x	15.9x	18.6x	1.8x	15.4x	14.5x	16.5x	4.3x	4.18%	6.4x
Edison International	\$ 28,432.20	\$ 72,000.20	9.1x	8.5x	7.1x	15.4x	14.5x	13.2x	1.7x	12.1x	11.4x	6.4x	3.7x	4.75%	4.1x
Duke Energy Corporation	\$102,559.23	\$ 195,598.20	11.6x	10.7x	11.7x	20.3x	19.0x	22.7x	2.0x	19.7x	18.4x	20.9x	6.2x	3.23%	5.5x
PG&E Corporation	\$ 39,959.06	\$ 102,412.10	9.1x	8.3x	10.2x	15.6x	13.8x	19.2x	1.3x	11.0x	10.1x	15.4x	4.1x	1.10%	6.0x
Sempra	\$ 62,316.77	\$ 108,987.77	17.3x	16.7x	14.2x	31.2x	30.4x	23.7x	2.0x	18.7x	17.3x	34.7x	7.7x	3%	6.1x
Median	\$ 39,959.06	\$ 87,614.70	11.2x	10.5x	11.7x	17.1x	15.9x	19.2x	1.8x	15.4x	14.5x	16.5x	4.3x	3%	5.8x
Mean	\$ 50,207.92	\$ 103,234.36	10.7x	9.8x	11.1x	18.7x	16.8x	20.7x	1.8x	15.7x	14.5x	16.7x	4.9x	3.22%	5.5x
Maximum	\$ 102,559.23	\$ 195,598.20	12.6x	10.9x	14.1x	25.2x	21.0x	30.1x	2.2x	20.2x	18.4x	24.3x	6.2x	4.75%	6.4x
Minimum	\$ 28,282.40	\$ 58,546.60	9.1x	8.3x	7.1x	15.4x	13.8x	13.2x	1.3x	11.0x	10.1x	6.4x	3.7x	1.10%	4.1x

Figure 11: Peer group analysis

Peer group includes five companies whose operations consist entirely or predominantly of regulated utilities and who mostly operate across multiple U.S. states, exposing them to diverse regulatory and operational risk profiles, similar to Sempra. PG&E Corporation, however, operates solely in California, making it, along with Edison International, a key peer due to exposure to similar non-financial risks associated with their geographic location, such as wildfires, risks that are also relevant for Sempra, which currently conducts the majority of its operations in the state.

From the table itself, it is clear to see that Sempra is trading at a premium compared to its peers. Their EV multiples are consistently higher than the mean and median of the set and sometimes dwarf these summary statistics, indicating that the market expects, and is pricing in, high growth of returns. Furthermore, Sempra's P/E multiple exceeds the median and mean of the data, which further implies

expected earnings growth, consistent with the assumptions from the DCF valuation. This is further consolidated by Sempra's higher EV/Rev multiple than the peer group median and mean. However, extreme cases such as Sempra's forward EV/EBIT multiples being practically double the median of the peer set could indicate that they have been overvalued by the market and that they are pricing in very optimistic growth assumptions. Despite this, the large multiples accurately represent the future growth in earnings as Sempra has pledged to increase capital expenditure by \$12.75B a year beginning in 2026 in their recent capital plan, under the rate-base system, capex directly increases the asset base that regulated utility companies can earn a return on, driving revenue growth. Additionally, Sempra have targeted an 11% rate base growth, which is above most U.S. regulated utility peers.

A slightly higher net Debt/EBITDA multiple of 6.1x than the median 5.8x suggests that Sempra operates with somewhat higher levels of leverage than most of its peers. This could cause some concern, but the ratio remains within the typical range for regulated utilities and is still below the upper bound of the peer group, indicating that leverage levels remain manageable. Their dividend yield is perfectly in line with the median of the peer group and very close to the mean, meaning that investors will likely not buy Sempra shares primarily for income but rather for growth potential, which is projected to be high.

Overall, the multiples analysis supports conclusions drawn earlier from the financial modelling. Sempra appears to trade at a premium when compared to its peers, likely because of the expected rate base growth caused by their \$12.75 Bn capex commitments, which will lead to increased revenues due to the rate base system. These expectations are consistent with the revenue and margin forecasts developed in Section 2 and with the intrinsic valuation derived from the DCF model. Although their Net debt/EBITDA multiple is higher than average, it is not excessively high and remains within the typical range for regulated utilities. As such, it is unlikely to significantly negatively impact Sempra's valuation.

5.2 Implied Valuation Range

Valuation Method	2026E Metric	Multiple	Implied Value \$B
P/E (Trailing)	2,072 (Net Income)	17.0x	\$35.3
EV/EBITDA (Trailing)	4,689 (EBITDA)	11.3x	\$53.0
EV/Revenue (Trailing)	11,871 (Revenue)	5.0x	\$59.9
Forward P/E (2026E)	2,300 (NI)	16.9x	\$38.8
Forward EV/EBITDA (2026E)	5,065 (EBITDA)	11.1x	\$56.2
Valuation Range			\$54-59B

Figure 12: Implied valuation range

In deriving the implied valuation, only multiples from peer companies operating primarily in the utilities sector were used, reflecting Sempra's strategic shift to regulated utilities. Accordingly, all financial metrics used in this analysis exclude figures related to SIP and instead focus solely on the company's utilities business to ensure comparability with peer firms. The implied valuation derived from EBITDA and revenue-based multiples of \$54-59B is consistent with the valuation of \$62B obtained from the DCF analysis for the utilities side of the business, as the EV for the multiples analysis does not include Sempra's stake of SIP. However, multiples relating to net income were excluded from the valuation range presented

above as Sempra's net income declined in 2025 compared to recent periods, which would distort the valuation if the P/E, based multiples were included. The lower net income partly reflects the capital-intensive nature of utility operations, where high depreciation and financing costs can depress reported earnings despite relatively stable operating performance and cash flow generation.

Note: Due to the exclusion of SIP, the enterprise value is lower than it would be had SIP been included, hence why the implied value is lower than that from the DCF.

6. SENSITIVITY ANALYSIS

6.1: One-Way Sensitivity Analysis

SENSITIVITY TO WACC						
WACC		4.8%	5.0%	5.20%	5.40%	5.60%
DCF VALUE PER SHA	\$95.5	124.5	110.3	98.1	87.6	78.4
SENSITIVITY TO TERMINAL GROWTH RATE						
TGR		1.00%	1.50%	2.00%	2.50%	3.00%
DCF VALUE PER SHA	\$95.5	55.9	67.9	83.5	104.9	135.7
SENSITIVITY TO CAGR 2026 - 2030						
CAGR		9.00%	10.00%	11.00%	12.00%	13.00%
DCF VALUE PER SHA	\$95.5	90.0	92.7	95.5	98.3	101.2

Figure 13: One-way investment

This one-way sensitivity analysis shows how the DCF-implied share price changes when one key assumption is adjusted at a time, while holding all other variables constant. The valuation is most sensitive to changes in WACC and the terminal growth rate, where small increases in WACC significantly reduce the share price and higher terminal growth rates materially increase it, highlighting how strongly long-term assumptions drive DCF results. In contrast, changes in the forecast CAGR (2026–2030) have a more moderate impact on valuation, indicating that the model is more influenced by discount rate and perpetuity assumptions than by short-term growth projections.

6.2: Two-way sensitivity analysis

		WACC				
		4.8%	5.0%	5.3%	5.4%	5.6%
Terminal CAGR	\$95.5					
	1.0%	\$70.3	\$63.4	\$55.9	\$51.7	\$46.7
	1.5%	\$86.1	\$77.3	\$67.8	\$62.7	\$56.5
	2.3%	\$121.4	\$107.7	\$93.2	\$85.7	\$76.7
	2.5%	\$138.2	\$121.8	\$104.8	\$96.0	\$85.6
	3.0%	\$186.1	\$160.8	\$135.6	\$123.0	\$108.6

Figure 14: Two-way sensitivity analysis

This two-way sensitivity analysis illustrates how the DCF-implied share price varies under different combinations of WACC and terminal growth rate assumptions. The valuation increases as the terminal growth rate rises and decreases as WACC increases, confirming that long-term growth and the discount rate are the primary drivers of the model's output. The highlighted base case of 2.3% terminal growth and 5.3% WACC results in an implied share price of approximately \$93.2, while more optimistic or conservative assumptions produce a wide valuation range, demonstrating the importance of testing multiple scenarios.

6.3: Interpretation and Key Takeaways

The sensitivity analysis indicates that valuation is most responsive to changes in the discount rate (WACC) and terminal growth rate, consistent with the long-duration cash flow profile of regulated utilities. Small changes in WACC produce disproportionately large shifts in intrinsic value, as a lower discount rate significantly increases the present value of terminal cash flows.

Terminal growth assumptions also materially influence valuation, given that the terminal value represents most enterprise value in a DCF framework. While revenue growth and margin expansion contribute to upside, their impact is smaller than movements in the discount rate. Based on the sensitivity ranges, a realistic valuation band can be defined across scenarios, with a bear case reflecting slower rate base growth and higher WACC, a base case aligned with management guidance, and a bull case incorporating stronger Texas expansion and margin improvement.

The analysis also highlights the importance of confidence in capital structure and regulatory assumptions. Because valuation is highly sensitive to WACC, the robustness of the beta estimate, cost of debt, and capital mix is critical. Downside stress scenarios would likely be triggered by rising interest rates, regulatory ROE compression, or wildfire-related liabilities, increasing perceived risk, all of which could elevate WACC and compress valuation. Conversely, a re-rating could occur if Texas transmission growth exceeds expectations, regulatory returns improve, or capital expenditures translate into sustained operating leverage. Overall, the sensitivity results reinforce that discount rate risk is the dominant driver of valuation volatility in this model.

7. QUALITATIVE AND RISK ANALYSIS

7.1 Competitive Moat and Competitive Position

Company's structural competitive advantages:

Brand and customer loyalty: Sempra's customers are not switching from Sempra's products primarily because there are no equivalent alternatives. Customers are unable to switch away from existing wires and pipe networks since electricity or utilities are usually considered natural monopolies due to large sunk set-up costs.

Barriers to entry: Sempra benefits from strong advantages of scale in Southern California and Texas. Replicating its network would be uneconomic and inefficient due to extremely high capital requirements and regulators' permissions.

Critical view: However, the same natural monopoly structure that protects Sempra also makes it heavily regulated, which is reflected by the allowed return Sempra can make on revenue

Moat rating: Overall, Sempra merits a narrow moat. Its regulated utility businesses and high barriers to entry benefit from protected territories, supporting durable competitive positions in Texas and California; however, the returns are constrained by regulation, as the ability to generate excess returns is capped. Moreover, in Texas, it is protected by ring-fencing and governance restrictions at Oncor, which support operational and financial stability.

7.2 Key Risks

A blocked sale of Sempra Infrastructure Partners:

If the sale of SIP does not go through, it will cause the capital plan to demand an equity issuance instead or increase leveraging to sub-optimal. This will inevitably cause uncertainty with investors over Sempra's ability to execute its strategic repositioning and would undermine confidence in its long-term strategy.

Regulatory and legal: Regulatory risk remains a key risk to the investment thesis, as the regulatory framework directly affects how much of Sempra's investment spending can be recovered through customer rates. Moreover, regulators determine what ROE a company is allowed. Therefore, a less favourable regulatory outcome would reduce the returns the company can earn on its investments, making future earnings and cash flows less predictable and weakening investors' confidence, pressuring the valuation. (2025, February 26)

Mitigation: diversifying across jurisdictions, hence reducing reliance on a single regulator. (S&P Global Ratings, 2025)

Macroeconomic: Mexico's business creates exposure to peso exchange rates and Mexican inflation, which can affect revenue, cash flow and costs. Moreover, Sempra's 2025 report also states that Sempra generally does not hedge certain deferred tax balances, so movements in FX and inflation can create accounting and earnings volatility. (2025b, September 23)

Mitigation: Keep peso-linked costs and revenues matched where possible; pursue the sale of Ecogas in Mexico (described as serving more than 600000 customers) (2025b, September 23) and the sale of SIP, which will divest its operations in Mexico.

7.3 Management Quality and Capital Allocation

Management decisions' record: Management's stated strategy over 2025-2026 is to simplify the portfolio and concentrate investment in regulated utilities. Evidence of execution in line with that strategy includes:

- Deployment of approximately \$13B to modernise infrastructure in 2025 (primarily Texas and California utilities).

- 2025 adjusted EPS = \$4.69, and the company's framing that this was at the high end of its guidance range.

Incentive alignment: Sempra's capital allocation is towards regulated utility investment, with growth financed partly through capital recycling (including the 10bn sale of 45% of Sempra Infrastructure Partners and planned Mexico disposals [Ecogas]) rather than aggressive M&A. Shareholders' returns are also funded well (quarterly 0.6575\$, annualised \$2.63 dividends for 2026) with buybacks secondary (of common stock). Moreover, the 2025 proxy statement describes an executive compensation structure with a strong pay-for-performance (2025a, March 28).

7.4 Catalysts and Inflexion Points

Main near-term events that could drive a re-rating:

The strongest near-term catalyst is the outcome of Oncor LLC's base rate review by the PUCT, the main regulator in Texas, together with a rapid transition from capital trackers to the Unified Tracker Mechanism (UTM).

Oncor has submitted an unopposed comprehensive settlement and is expecting a final decision in the first half of 2026. The settlement provides for an increase in annualised revenues of around 560\$ million, roughly 8.8% relative to the 2024 test year, a regulatory capital structure of 56.5% debt and 43.5% equity, an allowed ROE of 9.75%, and an authorised cost of debt of 4.94% (Oncor Electric Delivery Company LLC, 2026). This decision improves visibility on earnings and cash flow in Oncor, the company's main growth driver, and confirms that the company can recover a larger share of its investment spending and earn a regulated return through customer rates approved by the regulator.

In other words, it gives the market greater confidence that the company can translate its large capital investment plan into more predictable revenues and returns. Overall, the probability appears high, as the agreement has been filed on an unopposed basis and now only awaits final regulatory approval (Oncor Electric Delivery Company LLC, 2026).

8. INVESTMENT THESIS AND PRICE TARGET

8.1 Investment Recommendation

Item	Value
Rating	HOLD
Price Target (12 months)	\$82.79
Current Price (as of 09/03/2026)	\$91.56
Upside Potential	-9.58%
Risk Rating	Medium

Figure 15: Investment recommendation

This valuation of Sempra suggests that Sempra is currently trading very close to its estimated intrinsic value. The weighted average valuation (shown in 8.2) produces a target price of \$91.99 per share, which is slightly above the current market price, with a margin of safety of 10% the implied upside potential is -9.58%. While the company benefits from stable, regulated utility operations and a significant long-term capital investment plan that is expected to expand its rate base, much of this growth appears to be potentially already reflected in the current share price. As a result, the stock does not currently represent a clear margin of safety for new investors. Therefore, a hold recommendation is assigned.

8.2 Valuation Summary and Price Target Deviation

Valuation Method	Value/share	Weight
DCF(Base Case)	\$ 95.50	50.00%
EV/EBITDA Comps (Median)	\$ 87.22	25.00%
EV/Revenue Comps (Median)	\$ 78.21	15.00%
Precedent M&A Analysis	\$ 107.00	10.00%
Weighted Average	\$ 91.99	100%
Margin of Safety	\$ 82.79	

Figure 16: Valuation summary and price target deviation

The valuation weights followed those set out in the guidelines as they reflected a good balance between intrinsic and market-based valuation approaches. The DCF model was given the highest weight (50%) as it captures the company's underlying cash flow generation under the new business model. Trading multiples were used as market benchmarks and together account for 40% of the valuation, providing a comparison with companies that match Sempra's strategic shift to fully regulated utilities. Precedent transaction analysis was assigned a smaller weight of 10% as acquisition multiples often include control premiums and may therefore overstate standalone valuation. The final weighted average was decreased by a -10% margin of safety to produce a more conservative target share price of \$82.79.

8.3. Bull, Base, and Bear Case Scenario Analysis

Scenario	BULL	BASE	BEAR
Probability	25%	50%	25%
Revenue CAGR 2026 - 2035	9.5%	8.75%	8.2%
2035E EBITDA Margin	66%	63.9%	62.2%
WACC	5%	5.2%	5.7%
Terminal Growth	2.5%	2.3%	2%
DCF Value/Share	\$150.7	\$95.5	\$40.8
Upside/Downside vs. PT	+57.8%	Base	-57.3%

Figure 17: Bull, Base and Bear Case

- **Bull case:** Sempra overperforms on its target for regulated utilities and achieves a higher base rate growth through grid expansion. EBITDA margins rise, and consistent regulation also helps result in significant upside to intrinsic value.
- **Base case:** Performance remains in line with expectations, achieves consistent organic growth with no M&A's, and sees modest growth in margins.
- Poor execution with capital plans and macroeconomic pressure prevents targeted rate base growth, resulting in severe downside risk.

8.4 Key Thesis Summary

Coverage of Sempra Energy is initiated with a HOLD rating, reflecting the company's strong regulated utility profile balanced against limited upside potential. Sempra's shift of strategy is centred on expanding its regulated base through a significant long-term capital investment plan, which should support stable revenue growth and predictable returns. The focus on regulated utilities, combined with the expected divestiture of Sempra Infrastructure Partners and planned disposal of Mexican Assets, further strengthens its positioning as a primarily regulated energy infrastructure business with relatively stable cash flows.

The key risks to the thesis include the failure of the sale of (SIP), which would completely change the valuation and would create massive uncertainty with the investors, regulatory risk, as less favourable regulatory outcomes could reduce the returns of the proposed capital plan on its regulated investments. Macroeconomic risk also remains relevant due to the company's current exposure to Mexican operations, where exchange rate fluctuations and inflation could affect reported earnings, although this would be mitigated if the sale of SIP goes through. Additional risks include execution risk related to the company's large capital plan, which could face cost overruns or delays and policy or regulation changes related to energy transition and environmental standards that could require additional spending or alter the regulatory framework. I will consider revising the rating upward if Sempra demonstrates stronger than expected earnings growth through successful regulatory outcomes and effective execution of its 2026-2030 capital plan.

A key catalyst for potential re-rating is the outcome of Oncor's base rate review by the PUCT. The proposed settlement includes an increase in annualised revenues of approximately \$560 million and an allowed ROE of 9.75%. Approval would improve earnings growth and strengthen investor confidence that Sempra can translate its large capital plan into predictable revenues and regulated returns. However, given that the current intrinsic value is so close to the current price, the stock does not presently offer sufficient upside with a margin of safety to justify a buy recommendation.

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